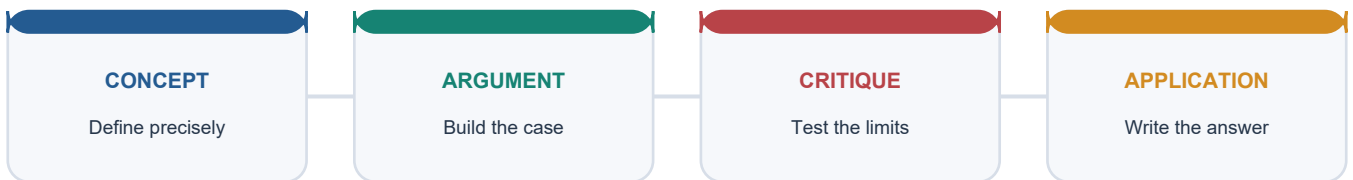


COMPLETE LEARNING SESSION

Services, Digital Economy, Fintech and Platform Markets - Solved Practice Workbook

Economy Topic 24 | Solved Practice Workbook

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

WORKBOOK MAP

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Services, Digital Economy, Fintech and Platform Markets - Solved Practice Workbook 4

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Services, Digital Economy, Fintech and Platform Markets - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best captures the services sector in national accounts?

A. It contains heterogeneous market and non-market activities with different productivity and tradability B. It includes only activities that cannot cross borders C. It excludes public administration and professional services D. It is defined solely by online delivery

Answer: A.

Option-wise explanation:

- **A:** Correct: services are heterogeneous and include both market and public activities.
- **B:** Incorrect: software and professional services can be traded remotely.
- **C:** Incorrect: national accounts include public administration and professional services.
- **D:** Incorrect: digital delivery is one mode, not the definition of services.

Examiner trap 1: Do not treat tertiary activity as one uniform production technology.

MCQ 2

A rise in the nominal services share of GDP necessarily proves that:

A. Every service worker became more productive B. Neither universal productivity growth nor improved job quality follows without real and labour evidence C. Manufacturing output contracted in real terms D. All informal services became formal

Answer: B.

Option-wise explanation:

- **A:** Incorrect: aggregate value shares cannot establish worker-level productivity.
- **B:** Correct: prices, real output, hours and composition must be examined separately.
- **C:** Incorrect: another sector's real output need not contract when a share changes.
- **D:** Incorrect: sectoral value addition does not establish legal or employment formality.

Examiner trap 2: A share is a ratio, not a causal productivity measure.

MCQ 3

India's services-led structural transformation is best described as:

A. A complete replacement of manufacturing B. A shift with identical output and employment shares C. Services producing over half of output while absorbing a smaller but important employment share D. A process confined to government administration

Answer: C.

Option-wise explanation:

- **A:** Incorrect: manufacturing remains essential and increasingly uses services.
- **B:** Incorrect: output and employment shares differ markedly.
- **C:** Correct: the output-employment gap is central to India's structural pattern.
- **D:** Incorrect: private trade, IT, finance, transport and care are major components.

Examiner trap 3: Service-led growth does not mean service-only development.

MCQ 4

Which is the clearest example of a tradable service supplied remotely?

A. A neighbourhood haircut B. A local bus ride C. Bedside nursing in a district hospital D. Software support delivered online to an overseas client

Answer: D.

Option-wise explanation:

- **A:** Incorrect: the provider and consumer ordinarily meet locally.
- **B:** Incorrect: the transport service is location-bound.
- **C:** Incorrect: direct bedside care requires local presence.
- **D:** Correct: remote digital delivery allows a cross-border service transaction.

Examiner trap 4: Tradability depends on delivery mode, not on intangibility alone.

MCQ 5

Servicification of manufacturing means:

A. Greater use of design, software, finance, logistics and after-sales services around goods production B. Replacing every factory with an app C. Counting imported machinery as a service D. Treating warehouse stocks as services output

Answer: A.

Option-wise explanation:

- **A:** Correct: manufacturing value chains increasingly bundle service inputs and outputs.
- **B:** Incorrect: servicification complements rather than abolishes production.
- **C:** Incorrect: machinery imports remain goods transactions.
- **D:** Incorrect: inventory is a stock of goods, not a service category.

Examiner trap 5: A rising service component may strengthen manufacturing competitiveness.

MCQ 6

Why is digital-service productivity difficult to measure?

A. Digital firms never produce market output B. Free services, rapid quality change and intangible investment complicate price and output measurement C. All digital output is excluded from GDP D. User numbers directly equal real value added

Answer: B.

Option-wise explanation:

- **A:** Incorrect: many digital firms sell measurable market services.
- **B:** Correct: quality-adjusted prices and intangible outputs create measurement challenges.
- **C:** Incorrect: digital output is recorded across existing industries when within the production boundary.
- **D:** Incorrect: adoption counts do not equal value added.

Examiner trap 6: Do not convert users, downloads or transactions directly into productivity.

MCQ 7

Digital public infrastructure is best understood as:

A. Any government website B. A monopoly application owned by the state C. Reusable interoperable rails on which public and private services can operate D. Only a fibre-optic network

Answer: C.

Option-wise explanation:

- **A:** Incorrect: a website need not be interoperable infrastructure.
- **B:** Incorrect: DPI can support competing applications.
- **C:** Correct: common standards and rails enable multiple services and participants.
- **D:** Incorrect: connectivity is only one layer.

Examiner trap 7: Public purpose and interoperability do not imply state ownership of every application.

MCQ 8

Which pairing is correct?

A. Aadhaar - commercial-bank deposit B. DigiLocker - retail payment switch C. UPI - citizenship register D. DigiLocker - issuer-sourced digital document access and verification

Answer: D.

Option-wise explanation:

- **A:** Incorrect: Aadhaar is an identity framework, not a deposit.
- **B:** Incorrect: DigiLocker handles documents, not payment switching.
- **C:** Incorrect: UPI moves payment instructions and does not determine citizenship.
- **D:** Correct: DigiLocker connects trusted issuers, users and authorised requesters.

Examiner trap 8: Keep identity, documents, accounts and payments as separate rails.

MCQ 9

UPI ordinarily transfers:

A. Commercial-bank deposit money between participating accounts B. A direct RBI liability stored as digital rupee C. Only prepaid-wallet balances D. Physical cash through an ATM switch

Answer: A.

Option-wise explanation:

- **A:** Correct: UPI instructs bank-account transfers.
- **B:** Incorrect: e-rupee is the direct RBI liability.
- **C:** Incorrect: UPI is not confined to prepaid wallets.
- **D:** Incorrect: NFS links ATMs; UPI is a different system.

Examiner trap 9: UPI is a payment interface, not a currency.

MCQ 10

Which comparison is accurate?

A. NEFT and RTGS are both deferred net systems B. NEFT uses half-hourly batches, while RTGS settles transactions individually in real time C. IMPS is operated directly by the Income Tax Department D. UPI is unavailable outside banking hours

Answer: B.

Option-wise explanation:

- **A:** Incorrect: RTGS is gross and real-time.

- **B:** Correct: the settlement design is the central distinction.
- **C:** Incorrect: NPCI operates IMPS under the payment-system framework.
- **D:** Incorrect: UPI is designed for round-the-clock retail payments.

Examiner trap 10: Twenty-four-hour availability does not erase settlement-design differences.

MCQ 11

Which institutional statement is correct?

A. NPCI legislates the Payment and Settlement Systems Act B. A TPAP holds every user's bank deposit C. RBI regulates payment systems while NPCI operates specified retail systems such as UPI D. A PSP bank is the same legal entity as every app it supports

Answer: C.

Option-wise explanation:

- **A:** Incorrect: Parliament enacted the statute and RBI exercises regulatory powers.
- **B:** Incorrect: deposits remain with banks.
- **C:** Correct: regulator and operator are distinct.
- **D:** Incorrect: a TPAP and its partner PSP bank have separate roles.

Examiner trap 11: Never merge regulator, operator, bank and front-end application.

MCQ 12

Merchant Discount Rate is:

A. The UPI PIN entered by a payer B. Interest paid on a merchant loan C. A cashback received by every customer D. A merchant-side payment-processing charge within the acceptance chain

Answer: D.

Option-wise explanation:

- **A:** Incorrect: a PIN is an authentication secret.
- **B:** Incorrect: MDR is not loan interest.
- **C:** Incorrect: cashback is a separate commercial incentive.
- **D:** Correct: MDR is charged on the merchant acceptance side.

Examiner trap 12: MDR is a price in the payment chain, not a security credential.

MCQ 13

Which list correctly identifies major fintech segments?

A. Payments, lending, wealth, insurance and regulatory technology B. Only cryptocurrency exchanges C. Only bank-owned mobile applications D. Telecom towers and semiconductor fabs only

Answer: A.

Option-wise explanation:

- **A:** Correct: fintech spans multiple underlying financial activities.
- **B:** Incorrect: crypto is only one digital-asset segment.
- **C:** Incorrect: non-bank technology providers also participate subject to activity rules.
- **D:** Incorrect: those are infrastructure industries, not a fintech taxonomy.

Examiner trap 13: Classify fintech by the financial function being digitised.

MCQ 14

Under RBI's Digital Lending Directions, 2025:

A. An LSP becomes the balance-sheet lender automatically B. The regulated entity remains responsible for its LSP and borrower funds normally flow directly between borrower and regulated entity C. Borrower repayment must pass through an app pool account D. Automatic credit-limit increases require no borrower request

Answer: B.

Option-wise explanation:

- **A:** Incorrect: the LSP is an agent unless separately regulated as lender.
- **B:** Correct: principal responsibility and direct fund flows are core safeguards.
- **C:** Incorrect: pass-through or pool accounts are generally prohibited.
- **D:** Incorrect: explicit borrower request and evaluation are required.

Examiner trap 14: Outsourcing the interface does not outsource liability.

MCQ 15

The 5% rule in RBI's digital-lending framework relates to:

A. Maximum annual percentage rate B. Minimum cooling-off period C. Maximum eligible DLG cover on the specified outstanding portfolio D. Share of data an LSP may sell

Answer: C.

Option-wise explanation:

- **A:** Incorrect: APR is disclosed but not capped at five per cent by this rule.
- **B:** Incorrect: cooling-off is at least one day, not five per cent.
- **C:** Correct: eligible DLG cover is capped at five per cent of the specified portfolio.
- **D:** Incorrect: borrower data sale is not authorised by a percentage rule.

Examiner trap 15: DLG cap is a portfolio-loss allocation rule, not a price cap.

MCQ 16

An NBFC-Account Aggregator may:

A. Approve loans on behalf of every FIU B. Hold customer deposits C. Support securities and payment transactions D. Retrieve and transmit specified financial information under explicit consent without retaining it

Answer: D.

Option-wise explanation:

- **A:** Incorrect: the financial information user makes its own decision.
- **B:** Incorrect: an AA is not a deposit-taking account.
- **C:** Incorrect: RBI's 2025 Directions prohibit transaction support.
- **D:** Correct: consented retrieval, consolidation and transmission define the role.

Examiner trap 16: Consent-based data sharing is not credit sanction or transaction execution.

MCQ 17

The digital rupee is:

A. Legal tender and a direct liability of RBI, currently used through pilots B. A private stablecoin guaranteed by an exchange C. Interest-bearing commercial-bank deposit by design D. Another name for UPI

Answer: A.

Option-wise explanation:

- **A:** Correct: RBI issues e-rupee and still describes the arrangements as pilots.

- **B:** Incorrect: private reserve arrangements do not create sovereign money.
- **C:** Incorrect: RBI's retail FAQ states no interest is paid on wallet balances.
- **D:** Incorrect: UPI is a means of payment, not the currency itself.

Examiner trap 17: Identify issuer and liability before comparing digital money.

MCQ 18

India's current VDA framework is best described as:

A. Full legal-tender recognition B. Tax and AML obligations without a dedicated comprehensive securities-style crypto market statute C. A blanket constitutional prohibition D. Deposit insurance for exchange balances

Answer: B.

Option-wise explanation:

- **A:** Incorrect: private VDAs are not legal tender.
- **B:** Correct: tax and FIU/PMLA duties do not amount to full market regulation.
- **C:** Incorrect: no such constitutional ban applies.
- **D:** Incorrect: DICGC does not insure crypto-exchange balances.

Examiner trap 18: Taxation does not imply endorsement, safety or legal tender.

MCQ 19

Cross-side network effects mean:

A. A platform has no need for governance B. Every additional user harms the other side C. Participation on one side can increase value for users on another side D. Only telecom networks can have network effects

Answer: C.

Option-wise explanation:

- **A:** Incorrect: network effects may increase gatekeeping risks.
- **B:** Incorrect: effects can be positive or negative.
- **C:** Correct: more sellers can benefit buyers and vice versa.
- **D:** Incorrect: marketplaces, payments and social networks also display such effects.

Examiner trap 19: Network effects can improve matching and entrench power simultaneously.

MCQ 20

Why might a platform charge one user group zero?

A. Because it has no costs B. Because zero price proves absence of dominance C. Because law forbids charging every user D. Because attracting that side can raise participation and revenue on another side

Answer: D.

Option-wise explanation:

- **A:** Incorrect: costs can be recovered elsewhere.
- **B:** Incorrect: non-price conduct and cross-side revenue remain relevant.
- **C:** Incorrect: no universal rule requires a zero user price.
- **D:** Correct: cross-subsidy is common in multi-sided markets.

Examiner trap 20: Analyse all sides and non-price terms, not one posted price.

MCQ 21

Which measure most directly reduces switching cost?

- A. Usable portability of data, history or credentials to a rival service B. Mandatory exclusivity C. Blocking multi-homing
D. Opaque default ranking

Answer: A.

Option-wise explanation:

- **A:** Correct: effective portability reduces the cost of rebuilding a user relationship.
- **B:** Incorrect: exclusivity deepens lock-in.
- **C:** Incorrect: preventing multi-homing raises dependence.
- **D:** Incorrect: opaque defaults can reinforce incumbent advantage.

Examiner trap 21: Formal portability without usability may not create contestability.

MCQ 22

ONDC is designed primarily as:

- A. A public warehouse owning all seller inventory B. An open protocol network enabling interoperability across buyer and seller applications C. A central-bank payment system D. A statutory data-protection board

Answer: B.

Option-wise explanation:

- **A:** Incorrect: sellers and logistics providers remain separate participants.
- **B:** Correct: open-network interoperability is the defining design.
- **C:** Incorrect: ONDC is commerce infrastructure, not a payment settlement system.
- **D:** Incorrect: the DPDP Act establishes the data-protection institution.

Examiner trap 22: Open network is not the same as one marketplace.

MCQ 23

As of 10 September 2026, the Draft Digital Competition Bill, 2024:

- A. Had replaced the Competition Act B. Was an RBI Master Direction C. Had not been identified as enacted law and remained a proposal D. Applied only to offline cartels

Answer: C.

Option-wise explanation:

- **A:** Incorrect: existing competition law remained operative.
- **B:** Incorrect: the proposal came from the corporate-affairs policy process, not RBI.
- **C:** Correct: enactment must not be inferred from a committee report or draft.
- **D:** Incorrect: its focus was large digital enterprises, not only offline conduct.

Examiner trap 23: Draft, introduced, passed and commenced are different statuses.

MCQ 24

Data is economically non-rival because:

- A. It cannot be excluded from anyone B. It has no collection cost C. It never creates privacy harm D. One use need not physically consume it, although access can remain controlled

Answer: D.

Option-wise explanation:

- **A:** Incorrect: legal and technical controls can make data excludable.
- **B:** Incorrect: collection, cleaning, storage and security are costly.

- **C:** Incorrect: re-use can create privacy and discrimination risks.
- **D:** Correct: non-rivalry concerns repeated use without physical depletion.

Examiner trap 24: Non-rival does not mean ownerless, free or unrestricted.

MCQ 25

Which statement accurately describes DPDP implementation at the cutoff?

A. Rules were notified on 13 November 2025, but commencement is phased and most core obligations were not yet all in force by 10 September 2026 B. Every obligation commenced in August 2023 C. The Act applies only to paper records D. CCI is the Data Protection Board

Answer: A.

Option-wise explanation:

- **A:** Correct: the official commencement notification creates staged dates.
- **B:** Incorrect: enactment and commencement are separate.
- **C:** Incorrect: the statute concerns digital personal data and digitised data within scope.
- **D:** Incorrect: competition and data-protection bodies have different mandates.

Examiner trap 25: Always date the phase of commencement.

MCQ 26

RBI's 6 April 2018 payment-data direction requires:

A. Every type of Indian data to remain permanently offline B. Entire payment-system data of covered system providers to be stored in India, with the stated foreign-leg qualification C. Only paper receipts to be stored D. All global data flows to be prohibited

Answer: B.

Option-wise explanation:

- **A:** Incorrect: the direction has a payment-system perimeter.
- **B:** Correct: it secures domestic storage and supervisory access within that scope.
- **C:** Incorrect: it addresses electronic payment-system data.
- **D:** Incorrect: it does not create an economy-wide ban on cross-border processing.

Examiner trap 26: Sector-specific localisation is not universal data localisation.

MCQ 27

A sound response to digital-payment fraud should prioritise:

A. Only higher transaction volume B. Only stronger passwords C. Prevention, detection, clear liability, rapid reporting, recovery and grievance redress D. Removing every interoperability feature

Answer: C.

Option-wise explanation:

- **A:** Incorrect: scale can enlarge exposure without safeguards.
- **B:** Incorrect: social engineering and system failures need broader controls.
- **C:** Correct: layered controls cover the fraud lifecycle.
- **D:** Incorrect: interoperability can be preserved with risk controls.

Examiner trap 27: Security of the core network does not eliminate user-side deception.

MCQ 28

Effective digital inclusion requires:

A. An internet subscription count alone B. Compulsory app-only service delivery C. A smartphone without language support D. Access plus affordability, skills, accessibility, trust and remedy

Answer: D.

Option-wise explanation:

- **A:** Incorrect: subscriptions can exceed persons and do not show capability.
- **B:** Incorrect: app-only delivery can exclude users.
- **C:** Incorrect: device access without usable design is insufficient.
- **D:** Correct: effective use and redress complete the access chain.

Examiner trap 28: Connectivity is necessary but not sufficient.

MCQ 29

Platform work is economically characterised by:

A. Digital matching, algorithmic allocation, ratings and variable task-based demand B. Guaranteed employee status in every case C. Fixed monthly wages for every worker D. Absence of information asymmetry

Answer: A.

Option-wise explanation:

- **A:** Correct: the matching and control architecture distinguishes platform work.
- **B:** Incorrect: legal status varies and is covered in detail in Topic 22.
- **C:** Incorrect: earnings can be task-based and volatile.
- **D:** Incorrect: algorithms and contracts can create opacity.

Examiner trap 29: Workforce projections do not prove stable earnings or legal coverage.

MCQ 30

Digital records can contribute to formalisation when they:

A. Automatically create permanent salaried jobs B. Improve verifiability for tax, credit and compliance while being combined with durable rights and capability C. Eliminate all compliance cost D. Convert every informal transaction into GDP growth

Answer: B.

Option-wise explanation:

- **A:** Incorrect: payment mode does not determine employment status.
- **B:** Correct: records are an enabling condition, not the whole outcome.
- **C:** Incorrect: new reporting can itself impose cost.
- **D:** Incorrect: recorded transactions may replace cash without adding real output.

Examiner trap 30: Digitisation and substantive formalisation are distinct.

MCQ 31

Which policy package best balances digital innovation and public interest?

A. Closed proprietary rails without appeal B. One regulator controlling every digital activity C. Open interoperable rails, activity-based regulation, privacy, competition, resilience and accessible grievance D. A ban on all data-driven services

Answer: C.

Option-wise explanation:

- **A:** Incorrect: closed rails deepen lock-in.

- **B:** Incorrect: sector-specific risks require coordinated mandates, not one omnipotent regulator.
- **C:** Correct: the package aligns innovation with accountability.
- **D:** Incorrect: blanket prohibition discards productivity and inclusion benefits.

Examiner trap 31: Innovation is not deregulation, and safety is not prohibition.

MCQ 32

Which dashboard is most complete for evaluating digital-economy policy?

A. Only downloads and accounts B. Only transaction value C. Only the number of licensed firms D. Adoption, cost, uptime, productivity, competition, fraud, grievance, worker and distributional outcomes

Answer: D.

Option-wise explanation:

- **A:** Incorrect: registration and downloads can remain inactive.
- **B:** Incorrect: value misses frequency, cost and welfare.
- **C:** Incorrect: licences do not establish performance.
- **D:** Correct: the dashboard separates inputs, use, outcomes, risks and distribution.

Examiner trap 32: Scale, compliance and welfare must be measured separately.

PYQS AND ANSWER PRACTICE

VERIFIED MAINS PYQ 1 - 2021 GS-I - 15 MARKS

Question: What is Cryptocurrency? How does it affect global society? Has it been affecting Indian society also?

Answer in 250 words.

Model solution: Cryptocurrency is a cryptographically secured digital token whose transactions may be recorded on a distributed ledger. It is not synonymous with blockchain and, unlike a central bank digital currency, is generally not a sovereign liability or legal tender. Globally, crypto has encouraged experimentation in cross-border settlement, tokenisation and programmable finance. It has also produced volatile speculative markets, exchange and custody failures, fraud, ransomware and money-laundering concerns. Proof-of-work systems can consume substantial energy, although consensus designs differ. Social effects are unequal because retail users bear information and loss risks while gains can concentrate among early or sophisticated participants. In India, private VDAs are not legal tender. Income-tax sections 115BBH and 194S impose tax and withholding rules, while specified service providers entered the PMLA/FIU-IND reporting perimeter from March 2023. This is tax and AML regulation, not a sovereign guarantee or comprehensive securities-style investor-protection regime. India's calibrated approach should preserve useful distributed-ledger innovation while strengthening custody, disclosure, cyber, consumer and illicit-finance safeguards.

VERIFIED MAINS PYQ 2 - 2023 GS-III - 10 MARKS

Question: What is the status of digitalization in the Indian economy? Examine the problems faced in this regard and suggest improvements. Answer in 150 words.

Model solution: India has built population-scale digital rails for identity, payments, documents and consented financial-data exchange. UPI, Aadhaar, DigiLocker and Account Aggregators lower verification and transaction costs, while online services and fintech widen market access. MeitY estimated the digital economy at 11.74 per cent of national income in FY23; its FY25 number is a projection. Yet access is unequal across devices, affordability, language, disability and skills. Cyber fraud, outages, opaque algorithms, platform concentration, intrusive lending and weak grievance systems can turn scale into harm. The DPDP framework was only partly commenced by 10 September 2026. India should deepen broadband and assisted access, mandate privacy and security by design, preserve interoperability and data portability, enforce activity-based regulation, clarify liability across apps and regulated principals, and evaluate productivity, competition, job quality and consumer outcomes rather than downloads alone.

VERIFIED OBJECTIVE PYQ - 2024 PRELIMS GS-I Q53

Question: Consider the following statements in respect of the digital rupee:

1. It is a sovereign currency issued by the Reserve Bank of India in alignment with its monetary policy.
2. It appears as a liability on the RBI's balance sheet.
3. It is insured against inflation by its very design.
4. It is freely convertible against commercial bank money and cash.

Which of the statements given above are correct?

A. 1 and 2 only B. 1 and 3 only C. 2 and 4 only D. 1, 2 and 4

Official Set-A key: D.

Solution: Statements 1, 2 and 4 capture issuance, liability and par convertibility. Statement 3 is wrong because digital form does not create inflation insurance. RBI's FAQ updated 29 April 2026 continues to distinguish e-rupee from UPI and describes the arrangements as pilots.

KEY-NEUTRAL OBJECTIVE ROUTES

- **2018 Prelims Q6:** Merchant Discount Rate. Exact question is preserved in the local official paper; the repository does not hold a locally verifiable official 2018 key, so no answer letter is asserted.
- **2018 Prelims Q15:** Institution linking ATMs in India. Concept route: NPCI operates the National Financial Switch; no answer letter is asserted without the official key.
- **2018 Prelims Q28:** BHIM, UPI transfer and authentication statements. Concept route retained; no answer letter is inferred.
- **2025 Prelims Q68-Q69:** RTGS/NEFT distinctions and the paper-dated set of countries accepting UPI merchant payments. The official key file is present, but no current country list is generalised beyond that exam date.
- **2026 objective routes:** ONDC, dropshipping, UPI versus e-rupee and crowdfunding remain answer-withheld because the locally held key is provisional.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish digital public infrastructure from the applications built on it. Answer in 150 words.

Model answer:

Digital public infrastructure provides reusable rails for identity, payments, documents or consented data exchange, whereas applications offer user-facing services on those rails. Aadhaar authenticates identity, UPI carries payment instructions, DigiLocker supplies verifiable documents and Account Aggregators transmit consented financial information. Banks, fintech firms and commerce applications can compete above these common standards. This separation lowers entry, search and switching costs and can expand inclusion. It also lets innovators reuse verification and settlement capabilities instead of rebuilding closed systems. Yet public purpose does not mean government ownership of every application, nor does interoperability guarantee competition. Operators, regulators and private providers retain distinct roles and liabilities. Open standards therefore need cyber resilience, privacy, accessible authentication, transparent governance and effective grievance redress. The sound model is common interoperable infrastructure combined with contestable applications and activity-based regulation.

Native-body word count: 133 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why are UPI and the digital rupee not interchangeable? Answer in 150 words.

Model answer:

UPI is a payment interface operated by NPCI under RBI oversight. It sends instructions that debit and credit commercial-bank accounts; the underlying money is a bank deposit and the bank remains liable to its customer. The digital rupee, by contrast, is sovereign digital currency issued by RBI, legal tender and a direct RBI liability. RBI's FAQ updated 29 April 2026 still describes retail and wholesale e-rupee as pilots. Wallet-to-wallet CBDC transfers can settle in central-bank money, while a UPI transaction normally settles through participating banks. UPI may also be used as an acceptance interface for an e-rupee wallet, but interoperability does not merge the instruments. Neither digital form nor instant transfer determines whose liability the money represents. The exam-safe comparison is issuer, liability, storage, settlement and pilot status: UPI is the rail; e-rupee is money.

Native-body word count: 135 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Examine the strengths and limits of India's services-led structural transformation. Answer in 250 words.

Model answer:

India's structural transformation has been unusual because services expanded at a lower per-capita income than in many manufacturing-led economies. Economic Survey 2025-26 places services at 53.6 per cent of GDP in H1 FY26, with 9.3 per cent GVA growth, while services account for about 30 per cent of total employment. Modern tradable segments such as software, business services, finance and Global Capability Centres earn foreign exchange, attract investment and generate knowledge spillovers. Domestic trade, transport, tourism, health, education and care support urbanisation and labour absorption. Services also raise manufacturing competitiveness through design, software, logistics, finance and after-sales support. However, output is concentrated geographically and occupationally. High-value exports require skills and may not absorb workers leaving agriculture, while much employment remains informal or low-productivity. Automation, immigration restrictions, data rules and external demand create vulnerabilities. Policy should therefore avoid a services-versus-manufacturing binary. It should deepen digital and physical infrastructure, human capital, urban services, competition, tourism quality and MSME linkages while expanding labour-intensive manufacturing. Success must be judged through real productivity, exports, wages, job quality, regional diffusion and resilience, not aggregate GDP share alone.

Native-body word count: 183 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess RBI's digital-lending and Account Aggregator architecture from the standpoint of innovation and consumer protection. Answer in 250 words.

Model answer:

India's architecture separates lending responsibility from data portability. RBI's Digital Lending Directions dated 8 May 2025 permit regulated entities to use Lending Service Providers, but the regulated entity remains fully responsible for their acts and omissions. The framework requires creditworthiness assessment, Key Fact Statement and annual percentage rate disclosure, direct borrower-to-lender fund flows, no automatic limit increase, a minimum one-day cooling-off option, need-based data collection and grievance escalation. Default Loss Guarantee is permitted within conditions and capped at five per cent of the specified portfolio, preventing an LSP from replacing lender underwriting. The NBFC-Account Aggregator Directions dated 28 November 2025 create a separate consent rail. An AA retrieves and transmits specified financial information between providers and regulated users; it does not lend, support transactions or retain the information. Together, these rules can reduce search, paperwork and information asymmetry, especially for thin-file borrowers. Risks remain: consent fatigue, biased models, data errors, aggressive recovery, unregulated apps and weak digital literacy. The priority is auditable consent, model review, liability clarity, accessible complaints and enforcement across outsourcing chains.

Native-body word count: 174 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: How do network effects create both efficiency and market power in platform markets? Suggest a balanced competition framework. Answer in 250 words.

Model answer:

A platform connects distinct groups such as buyers and sellers or drivers and riders. Cross-side network effects mean more participants on one side improve matching and value for the other. Scale spreads fixed technology costs, supports reputation systems and can lower search, payment and logistics costs. The same feedback can tip a market. User density generates data; data improves ranking and personalisation; better service attracts more users. Ratings, contacts, purchase histories, defaults, exclusivity and ecosystem bundles raise switching costs and make entry difficult even when creating an app is cheap. A platform controlling discovery may self-preference its products, tie services or impose unequal access terms. Competition policy should not punish size or innovation alone. CCI must examine market definition, gatekeeping conduct, foreclosure, efficiencies and consumer harm under existing law. Interoperability, usable data portability, multi-homing, transparent ranking and non-discriminatory access can improve contestability. The Committee on Digital Competition Law's March 2024 draft proposed ex-ante duties, but no enactment notification was identified by 10 September 2026. Any future regime needs evidence-based designation, due process, periodic review and coordination with privacy and sector regulators. The objective is contestable scale, not forced fragmentation.

Native-body word count: 189 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: Evaluate India's digital economy through productivity, inclusion, stability, competition and rights. Answer in 250 words.

Model answer:

India's digital transformation rests on connectivity, identity, payments, document and consented-data rails. MeitY estimated the digital economy at 11.74 per cent of national income in FY23, while its 13.42 per cent FY25 figure was a projection. UPI lowers payment friction; DigiLocker reduces document verification cost; Account Aggregators can improve data portability; ONDC seeks interoperable commerce. Fintech unbundles financial services and digital delivery expands tradable services. These mechanisms can raise productivity, formal visibility and access. However, adoption is not outcome. Multiple connections do not prove affordable individual access, digital skill or safe use. Platform network effects can entrench gatekeepers; digital lending can produce mis-selling, intrusive data collection and aggressive recovery; cyber fraud and outages can spread quickly. Platform workers may gain flexible matching while bearing demand and income risk. The DPDP framework was only partly commenced at the 10 September 2026 cutoff, so rights depend on implementation and remedy. Policy should preserve open standards and competition, enforce activity-based prudential and conduct rules, require privacy and security by design, support vernacular and assisted access, clarify liability and measure complaints, uptime, productivity, job quality and distribution. Digital scale becomes inclusive development only when capability, trust and accountability scale with it.

Native-body word count: 199 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.